

- [12.](#) Robert L. Winkler, *An Introduction to Bayesian Inference and Decision* (New York: Holt, Rinehart & Winston, 1972), 17.
- [13.](#) Andrew Kilpatrick, *Of Permanent Value: The Story of Warren Buffett* (Birmingham, AL: AKPE, 1998), 800.
- [14.](#) *Outstanding Investor Digest*, April 18, 1990, 16.
- [15.](#) Ibid.
- [16.](#) *Outstanding Investor Digest*, June 23, 1994, 19.
- [17.](#) Edward O. Thorp, *Beat the Dealer: A Winning Strategy for the Game of Twenty-One* (New York: Vintage Books, 1962).
- [18.](#) I am indebted to Bill Miller for pointing out the J. L. Kelly growth model.
- [19.](#) C. E. Shannon, "A Mathematical Theory of Communication," *Bell System Technical Journal* 27, no. 3 (July 1948).
- [20.](#) J. L. Kelly Jr., "A New Interpretation of Information Rate," *Bell System Technical Journal* 35, no. 3 (July 1956).
- [21.](#) *Outstanding Investor Digest*, May 5, 1995, 57.
- [22.](#) Andrew Beyer, *Picking Winners: A Horse Player's Guide* (New York: Houghton Mifflin, 1994), 178.
- [23.](#) *Outstanding Investor Digest*, May 5, 1995, 58.
- [24.](#) Benjamin Graham, *The Memoirs of the Dean of Wall Street* (New York: McGraw-Hill, 1996), 239.
- [25.](#) The speech was adapted as an article in the Columbia Business School's publication *Hermes* (Fall 1984), with the same title. The remarks directly quoted here are from that article.
- [26.](#) Warren Buffett, "The Superinvestors of Graham-and-Doddsville," *Hermes*, Fall 1984. The superinvestors Buffett presented in the article included Walter Schloss, who worked at Graham-Newman Corporation in the mid-1950s, along with Buffett; Tom Knapp, another Graham-Newman alumnus, who later formed Tweedy, Browne Partners with Ed Anderson, also a Graham follower; Bill Ruane, a former Graham student who went on to establish the Sequoia Fund with Rick Cuniff; Buffett's partner Charlie Munger; Rick Guerin of Pacific Partners; and Stan Perlmeter of Perlmeter Investments.
- [27.](#) Berkshire Hathaway Annual Report, 1991, 15.